

Privacy and Data Use

This session explored how AI tools handle data and how institutions can uphold privacy, transparency, and compliance when using them.

Key Findings from Faculty Discussion

- **Familiarity with Privacy Laws:** Faculty were split on familiarity with FERPA and related privacy regulations. Some noted that Canada and the EU have more comprehensive AI data governance frameworks, such as GDPR and the EU AI Act, and suggested that U.S. institutions could adopt similar standards rather than waiting for national legislation.
- **Data Use by Big AI Companies:** Participants acknowledged that most large AI platforms use user data for model improvement and monetization. There was shared concern that such use often occurs without explicit user consent or understanding, highlighting the need for greater transparency in vendor contracts.
- **Balancing Privacy and Personalization:** Faculty described the balance as inherently difficult: AI systems depend on data to personalize learning, yet this same dependency threatens privacy.
 - Suggested mitigations included using incognito browsing, fake or anonymized data, and closer review of privacy policies before using AI tools.
 - Many noted that the burden of responsibility has shifted to individual users, rather than institutions or vendors.
- **Ethical Responsibility in Data Handling:** Faculty emphasized the importance of not uploading student data, grades, or identifiable information into public AI systems such as ChatGPT.

References

Ensuring Data Privacy in AI/ML Implementation (Wiley, 2024) ([link](#))

The integration of AI/ML in higher education must align with robust data privacy standards, enabling institutions to optimize teaching and learning while protecting sensitive information.

AI and Data Privacy and Security (University of Pittsburgh, 2024) ([link](#))

This guide warns that free AI chatbots should not be considered compliant with FERPA and emphasizes institutional responsibility for protecting student data privacy.

AI Student Data and FERPA Compliance (Element451, 2024) ([link](#))

Vendors handling student data must adhere to strict FERPA-based contractual obligations and should not use student data for training AI models.

Reporting the Potential Risk of Using AI in Higher Education (ScienceDirect, 2025) ([link](#))

Findings reveal significant privacy concerns in AI-driven teaching tools, including lack of transparency in how data is collected, stored, and shared with third-party providers.

Trust Because You Can't Verify: Privacy and Security Hurdles in EdTech Acquisition (arXiv, 2024) ([link](#))

Interviews with higher-ed IT and procurement leaders show persistent struggles to hold vendors accountable due to lack of visibility into data handling practices and power asymmetries.

Towards Privacy-Preserving Data-Driven Education: The Potential of Federated Learning (arXiv, 2025) ([link](#))

Federated learning offers a promising framework for AI in education by maintaining local data privacy while achieving comparable accuracy to centralized models.

PRIVACY and DATA USAGE

- Are you familiar with data privacy laws (FERPA, GDPR, etc.)?

50/50

- look to EU & Canada policy/laws for more
current/comprehensive policies → better than current US policy
↳ better to derive policies on privacy & data usage from EU/CA

- Do you know how students' data is used by big AI?

it depends

- primary focus is monetary (Ads, etc.)
targeting
- app improvement

How to balance privacy and personalization?

Challenging since a lot of data is available & used to sharing a lot of personal data

- things such as browsing web in "incognito" mode will protect your data & privacy.
- clear browser data
- use fake data where possible
- review privacy policies in detail
- weigh/consider the size of your digital footprint, think about what information is publicly available.
- responsibility falls ~~on~~ largely on the user